



INTERNATIONAL STUDENT ENROLMENTS AND RENTAL PRICES

ALIF FAHMI BIN HAMZAH
36850411

RESEARCH QUESTION

***The Effect of International Student
Enrolments on Rental Prices in NSW and VIC
Between 2019 - 2024***

WHY IT MATTERS

- Rising rents remain a major policy issue in Australia
- International students are frequently blamed for housing pressure
- Distinguishing public perception from empirical evidence is economically important

DATA

Panel structure

- NSW & Victoria
- Quarterly panel (2019Q1–2024Q4)
- 48 observations before differencing

Main variables

- Outcome: $\Delta \ln(\text{Rent})$
- Main regressor: $\Delta \ln(\text{Students})$
- Controls: $\Delta \ln(\text{Population})$, $\Delta \ln(\text{Supply})$, COVID dummy

Data sources

Australian Bureau of Statistics

- Rental prices, population, housing supply

Australian Government Department of Education

- International students

Data construction

- Monthly series aggregated to quarterly averages
- Student YTD enrolments converted into quarterly flows
- Log first-differences used to reduce common trends

EMPIRICAL STRATEGY

$$\Delta \ln(Rent_{it}) = \beta_0 + \beta_1 \Delta \ln(Students_{it}) + \beta_2 \Delta \ln(Population_{it}) + \beta_3 \Delta \ln(Supply_{it}) + \alpha_i + \lambda COVID_t + \varepsilon_{it}$$

- Panel data: NSW & VIC (2019Q1–2024Q4)
- State fixed effects included
- Log first-difference specification
- COVID dummy controls for pandemic disruption

ASSUMPTIONS & INTERPRETATIONS

- Descriptive, not causal
- Coefficients interpreted as conditional associations
- Remaining relationship reflects short-run association after controls

RESULTS

International student growth shows little evidence of a meaningful association with rental price growth.

- 1% increase in students → ~0.0003% increase in rental price growth
- Positive but extremely small relationship
- Economically negligible and statistically insignificant

<i>Variable</i>	<i>Main Specification</i>
$\Delta \ln(\text{Students})$	0.0003 (0.001)
$\Delta \ln(\text{Population})$	1.3973 (0.948)
$\Delta \ln(\text{Supply})$	-4.1544 (2.349)
COVID	-0.0115 (0.005)
State Fixed Effects	Yes
Observations	46
R ²	0.565

ROBUSTNESS & LIMITATIONS

The estimated coefficient remained economically small and statistically insignificant, across most alternatives.

<i>Robustness Check</i>	<i>Result</i>
HC3 robust SEs	Unchanged
No COVID dummy	Still weak
NSW / VIC only	Inconsistent
Logged levels	Weak relationship
Lagged students	No meaningful effect

⚠ LIMITATIONS

State-level aggregation may conceal stronger local rental pressures near universities and CBD areas.

CONCLUSIONS

International student enrolments showed a small and statistically insignificant association with rental price growth in NSW and Victoria between 2019 - 2024



Future Improvements

- Suburb/postcode-level rental data
- Additional housing and migration controls
- Stronger causal research designs

A low-angle, dark-toned photograph of a large group of graduates in black gowns and caps. They are all looking upwards with their arms raised in celebration. Numerous graduation caps are captured mid-air, scattered across the upper half of the frame, creating a sense of dynamic movement and joy.

THANK YOU !